The Most Extreme Shipping Market in History, Explained | J Mintzmyer on Why Oil Tanker Rates Are Up 25x and Why It Can’t Last (and Why Dry Bulk, not Tankers, is the Next Shipping Boom)

Podcast: Monetary matters

AI Executive Summary

1. **Core Thesis** The global tanker shipping market is experiencing a historically unprecedented boom driven by geopolitical friction (Strait of Hormuz tensions, Red Sea threats) and supply inefficiencies, resulting in spot rates that are 25 times higher than historical norms. However, valuations for both freight rates and ship assets have reached record highs and are unsustainable long-term; while immediate rate spikes offer short-term arbitrage gains, current tanker stock investments face high risk due to an approaching surplus of new supply by 2027-2028. Consequently, Value Investors Edge advises a cautious to neutral stance on tankers, viewing the sector as entering its later cycle, while positioning dry bulk shipping and specific equity companies with strong cash flow management as more attractive investment vehicles.

2. **Key Arguments & Data**

3. **Record Rate Levels:** Spot VLCC rates have reached $1 million to $1.2 million per day; one-year charter rates are approximately $150,000 to $170,000 per day (compared to normal $20,000–$40,000/day).
4. **Market Volume Increase:** Tanker spot rates have increased 25 times over the last few years (e.g., from ~$40k/day to over $1M/day), not by 25%.
5. **Strait of Hormuz Status:** Approximately 70-80% of pre-conflict flows are moving through the Strait; ships are not being sunk, but high risk aversion and fear drive avoidance. US Navy protection is facilitating safer flow to justify $1M/day premiums.
6. **Supply Constraints vs. Inflows:** The current order book fills from 2023-2025, with new supply hitting the market heavily between early-mid 2027 to late 2028. Current rates are unsustainable due to impending scrapping of older compliant ships and significant new tonnage entering in 12 months.
7. **Valuation Risk:** Tanker assets (ship hulls) trade at record highs justified by 2-3 year contracts ($150k/day required for asset buy-in).

Equity valuations are "hold" rather than "buy," while rate ETFs like BEWET are likely to crash if rates correct within days/weeks.

8. **Refining Market:** Refined product tankers (diesel, jet fuel) face a catch-up trade and hockey-stick demand due to China's return to exports and refinery capacity expansion; these margins are more volatile than crude oil.
9. **Trade Route Inefficiencies:** The "Tonn-Miles" commodity is the driver of value. War routes (around Africa vs. Suez) triple distance/trip time, creating demand spikes even if total cargo flow remains constant.

10. **Dry Bulk Opportunity:** Dry bulk rates are strong ($40k-$50k/day for Cape Size), driven by China's shift from Australian iron ore to Guinea imports and coal-to-LNG switching in power generation.

11. **Actionable Takeaways**

12. **Monitor Rate ETFs (BEWET):** Avoid new positions or expect a 50-75% drop if spot rates begin correcting, as they are currently pricing in unsustainable multi-month forward rates likely to last only weeks.
13. **Equity Stock Strategy:** "Hold" on top-tier tanker stocks rather than buying in at current peaks. Favor companies with modern fleets and strong management (EcoTankers [ECO], Torm [TRMD], International Shipping [INSW]) over those with older vessels or weak governance (Nordic American Tankers [AT] -> Avoid).
14. **Dry Bulk Pivot:** Consider Dry Bulk investing as a superior long-term bet due to supply constraints, China's trade route shifts, and lower volatility compared to tankers. Specifically consider CMB Tech [CMBT] for its dividend and debt repayment strategies.
15. **Avoid Containers:** Container shipping is in a mature cycle with a massive order book and low disruption benefit; do not expect the same explosive growth seen in tanker markets.
16. **Time Horizon Adjustment:** Do not hold expectations that current rates will persist through 2028; adjust portfolios to expect potential normalization by mid-2027/late 2028 as new supply enters the market.

Full Transcript

Words like crisis or historic really do not even begin to capture what is going on with tankers and the straight of Hormuz. I mean, you will get into the numbers, but some of these tanker rates have gone up 25 times, not 25%, 25 times. So it's definitely the most extreme time to be a ship owner or ship investor right now talking tankers, transporting crude oil as well as refined products. got someone very special to join us today. He has had a very good track record, not just of calling the cycle, but as well as picking stocks at model portfolio up roughly 40% since inception a decade ago. This episode is brought to you by Sarmaya Partners, who manages the Return to Tangibles ETF, LENS, ticker LENS, the Sarmaya Thematics ETF, built for a return to tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it.

I'm joined today by Jay Mintsmeyer, founder and president of Value Investors Edge, focused on shipping and energy. Jay, great to have you here on Monetary Matters. I know that this market and shipping right here, right now, particularly crude tanker markets for shipping, is historic. Just how high are the shipping rates? Just how high are the shipping values? And just how crazy is this global tanker market that we have right here because of the Iran War and the closure of the Strait of Hormuz? Absolutely, Jack. And first of all, thank you so much for having me on your podcast. You've been doing some great work across the sector. And I hear you've already talked to Ed Finn Richardson, and he's probably given your listeners some great gouge into the shipping sector as well. So thanks again for having me on. To hit the question head on about the tankers and how crazy things are, unprecedented is clearly the word there. We have spot rates recently, just in the last few days. And I don't know when you're going to publish this, Jack, but we're recording on the evening of September 30th.

2026 I always have to say that now if I talk about something because things change so much and even in a week or two from now We could be seeing totally different markets, but recent spot rates So if you just want to hire a tanker and bring it into the Middle Eastern Gulf load it with oil and transport that oil to China That's gonna cost around 1 million to 1.2 million

dollars per day to rent that tanker And so those tankers, they hold about 2 million barrels of oil, the VLCC is the very large crude carriers. And so you think about, you know, a million dollars a day so we can use round numbers. Call it a 60-day round trip to go from Middle East Gulf to China and back. So 60 million dollars to carry 2 million barrels of oil. So the amount of cargo cost, shipping cost in that barrel of oil is record highs, unprecedented. A normal tanker rate just to put things in perspective.

is probably between 20 and 40,000 per day. So we're talking massive numbers 25, 30 times what we would normally see in this kind of market. Now, it's not just spot rates, Jack. The longer term rates, if you were going to fix out one of those modern tankers for a year, you'd be looking at recently about 150 to 170,000 per day for the entire year. And so you'd ask, well, why would a company do that when they can make 1.1 million? Well, maybe they can't get the ship there in the next week or two. or maybe they want certainty, right? 170,000 a day times 365 days with no downtime. That's a lot of certainty. That's a lot of revenue. So those rates, Jack, a normal charter rate is going to look like 25,000, 30,000 for a year. And we're talking 170 for a year. The asset valuations, right? If you have high rates, high spot rates, high charter rates, you're going to see strong asset valuations. And those are at all time record highs. They're even higher than 2007, 2008.

So we we see extremely strong conditions across the market and Jack I'm sure you got a lot of follow-ups and how did we get here's and where are we going's I can do a little bit better at the history of predictions always tough But I'm happy to talk shipping. Wow. So on the VLCC rates in the spot market They went from 40,000 a day to over a million dollars a day 25 times increase not 25% 25 times. So if this move was you know, 30% is extreme. It would still be off the charts. We'd still be talking about it. We'd still be calling it crazy. And it's three times that. Wow. Um, why are the rates so high? You know, the straight of her moves has officially been closed since the start of the war on February 28th. I imagine that with the straight of her moves closed, there's a chance that that could be bad for rates because the ships couldn't get out, but I'm aware that there's a lot of ships that are going in the nighttime and turning off their satellite. So what is actually going on in the straight of her moves? Why are rates so high?

That's a great question, Jack. And I should caveat, you know, we say the 1 million or 1.1 million because that's a recent spot fixture or two or maybe three in the last few days. So it's not like the entire global fleet is getting fixed on those sorts of rates. But those are the eye-popping ones. But even if you look over at Africa, West Africa to China, you're looking in the neighborhood of 500,000 a day. If you look at US Gulf to China. You're you're in the lower to mid six figures as well per day. So it's a global market strength, Jack. And how did we get here? Well, first of all, if we rewind a year or two and even further three years, you can find some of the more attuned shipping analysts. I'm sure Ed Finn was one of them and myself as well. I have videos on YouTube and from Money Show and other presentations. We were talking about the setup in Crew Tankers for about two to three years now. We had generationally low forward supply.

The fleet was the oldest it had been in modern history, and we had promising demand trend shifts. So not so much that global oil consumption was growing, but the trade routes were getting longer and longer. The US has become a major exporter of oil, right? That's a more recent shift. Well, most of that oil they're exporting is going to Asia. So if you get out of map and you look at the distance from the US Gulf to Asia versus the Middle East Gulf, you'll see it's over double the distance, right? Brazil. Major producer, major exporter, very long haul route. And so in shipping, we measured a manned by ton miles. And how much cargo are you moving and how far are you moving it? And so those demand trends were very positive and we had their record low supply. And that goes back to 2020 and COVID and the market crashing. And so a lot of folks were bearish on the market. Well, then you'll remember when tankers first started turning up was when Russia invaded Ukraine, right? In 2022, right?

And then we had the initial self sanctioning of companies. They didn't want to be involved in Russian cargoes, but there wasn't like a legal restriction necessarily at first. But there's a lot of self sanctioning of Western affiliated companies, poker listed companies. We don't want to touch that trade in 2023. The sanctions came online and those disrupted product tankers and crude tankers. Then more recently, you've had the Houthis attacking ships in the Red Sea. And that causes a major rerouting, Jack, because you can't cut through the Red Sea and the Strait of Hormuz to get to the

Mediterranean. So if you're doing like European to Asia trades or Middle East Gulf to Mediterranean trades, now you got to go all the way around Africa and keep a good hope, triples your demand. And so that was already happening. So even if you go back before the Iran conflict, if you go back to late 2025, you'll see tanker rates were very strong.

entering 2026 before any missiles were flying. The rates were getting very strong in January. Now you have a seismic disruption, right? You're on war. They declare the straight clothes, the ships that are inside are trapped inside. They can't take other cargos. They can't move. They're stuck there. So all that supplies off the map. Meanwhile, everyone's scrambling and panicking to get more crude oil, to get more products, gasoline, diesel, jet fuel. So those ships that were queuing to go into the Middle East Gulf scrambled. to go to the US Gulf, to go to West Africa. And so we're talking 20, 30 days, at least, just for those ships to reposition. Then after a couple months, you know, the Gulf starts opening back up. There's like US protected lanes and things like that. And so now the ships are just like totally dislocated all over the place, not in the current correct order, efficient order, right? To take those cargoes. And so in eject this inefficiency into a market that's already tight, and it's a commodity market.

Right? The oil must flow. They just said spice must flow, right? And so, you know, yes, we're paying 20 a barrel or 30 a barrel in some cases for transit costs, but that oil will be consumed at 100 a barrel at 110 a barrel. Now, if we get higher, you know, 140, 150, we start getting demand destruction jack, but we're not there yet. So we're in this sweet spot where all the oil's got to flow. The tankers are totally out of position. And you see rates like this. So there's two key concepts here. Number one is that inefficiency is good for tankers. And the reason is that because it causes ships to go in inefficient routes, which causes the total amount of miles that they have to travel ton miles, as we say, go up. And that is the second principle that ton miles is the real commodity that we're talking about here. It's not ships. It's not tankers. It's ton miles. And so like back in the old days, you know, Russia would export oil to Europe. And that's a very efficient route. So.

demand for ton miles was, you know, kind of normal. But then with the war, you know, India is importing a ton of oil from Russia. And Russia can't

go through the Suez. So Russia has to go literally around the Cape of Africa into India to go to India. That's a ridiculously inefficient route that no logical person would ever take unless there's a geopolitical crisis such as that that we have. And that's exactly what's going on. So apply those two principles, Jay, exactly why Why with the Strait of Hormuz closure? Why is that causing ships to be in such strange places and take such strange routes? What exactly is going on here? Yeah, Jack, in just the caveat, I mean, one of the reasons I believe we're seeing extremely high rates now is because the straits no longer closed, right? You're getting increased flows in there. So the ships are actually able to go in.

and load cargoes and get out. But there's a lot of owners out there who are avoiding the Strait of Hormuz, either because of personal reasons or because of care for their seafarers or its political reasons. They don't want to take that risk. They're a publicly traded company. So you also have a limitation in the willing providers of tanker tonnage. And that's why you're seeing 1.1 million recent spot rate out of the Strait of Hormuz. But you're seeing 500,000 from West Africa and 300,000 from US Gulf. Right, that discrepancy there reflects the willingness of owners to go in there and take the risk and expose their seafarers to potential missile strikes and things like that. Really, Jack, any disruption in shipping, and this has been my bread and butter now for 17, almost 18 years now. We founded Value Investors Edge in 2015 and we focus exclusively on maritime shipping. One of the big misnomers in shipping, Jack, is that these disruptions and things like big storms or conflict breaking out or routes getting closed.

People instinctively think, oh, that's bad for shipping, right? But when you think about it from a commodity standpoint of supply disruption or demand spikes, you can understand it on a packet. And I know you understand that, Jack, but we got a lot of listeners here who might not be as familiar with the sector. But I'm sure most of your listeners remember during 2020, shipping demand cratered at first and everything came down. But in the end of 2020 into 2021, remember the container ship crisis? the big back longs off Long Beach in LA. And remember the Suez Canal got stuck, ever given got stuck in Suez Canal. And that was just a bonanza for container shipping. Right in 2021 was absolute bonanza. And that's that's a very similar parallel jack to what we're seeing here today. Hey, everyone, hope you're finding value in

my questions. I've got a quick question for you. How much of your portfolio actually depends on the physical world? If you own the S&P 500, more than a third is tech.

Energy, materials, and precious metals, about 5%. Sarmaya Partners believes the next cycle belongs to tangibles. The energy and metal sectors have been underinvested and underloved for a decade. They call it Return to Tangibles, and LENS, ticker LENS, the Sarmayar ETF, is an actively managed ETF that they manage to express this view. An active is the point. The team follows the theme across sectors, market caps, and borders as the cycle evolves, adding where they see opportunity and trimming themes that look overextended. Miners, energy, precious metals, critical metals, all in one actively managed ticker, LENS. When inflation runs, stocks and bonds can fall together. LENS adds real asset exposure with the potential to diversify both the stock side and the bond side against inflation and geopolitical risk.

Learn more about the LENS ETF and their full data and comparison, including performance at www.SermayaETF.com. Investing involves risk, including possible loss of principal. The fund's investment objectives, risk, charges, and expenses must be considered carefully before investing. This and other important information is contained in the prospectus, which may be obtained at www.SermayaETF.com. Please read the prospectus carefully before investing. Thanks for listening. Let's get back to today's interview. So you said that the straight-up from whose is no longer closed. To whom exactly is it closed and to whom is it not closed? And what type of traffic have we seen throughout the war go through the Strait of Hormuz and with what routes? You know, there's the Iranian route the traditional route the Omani route and then if we could put up a chart of the official Number of how many tankers have been going through per day. That's kind of the doom chart But it's kind of fake data, isn't it because people you know, so many ship owners have been turning off their satellites So tell us about the official data that is somewhat inaccurate and then tell us how many How many ships are actually getting through and turning their satellites off? So what's the official data and then what are the real numbers? Yeah, absolutely, Jack. And it's always difficult to know in current terms what were the real numbers. In fact, you won't really know those until you have a

week or two of hindsight. So I don't want to sit here and put my hand on the Bible and say, this is the exact number of transits going through. But I will say you got to be really skeptical of AIS data. And that's tough for me to say, Jack, because...

I don't know, we didn't really go much into my background, but I studied sanctions and trade flows for my PhD research. And the cornerstone of my dissertation when I based everything on was how we could use AIS data to map global trade. And so, and my committee was challenging me of like the robustness of AIS and whether or not it could be reliable. And they were like, well, what about spoofing? And what about this? I was like, well, 99% of the data is accurate, right? We're only looking at illegal shit. Fishing, right? And ship to ship transfers off like North Korea. And I convinced my committee and I fully believe it that AIS data is robust. And now I'm sitting here, Jack, and I'm telling you, you cannot trust the real time we're slightly delayed AIS data in the straight and poor moves. And in fact, you'll see if you have a custom ship tracking dashboard, which a lot of folks use marine traffic, that's a great one. Vessels values of service we utilize and they have an AIS tracking map on their stuff that does cargo miles. It's very useful. We've built a custom.

map on our own website where you can pick whatever companies were investing in or following and you can heat map their ships and show their trade routes and everything like that. But there's like, in some of these instances, there'll be a two or three week delay where it looks like the ship's not moving and then it teleports. They got some new technology to teleport in and out of the Gulf. It's fantastic. But no, in all seriousness, from everything we've seen, it looks like we're back to 70 to 80% of pre-conflict. flows out of the Strait of Hormuz. I don't want to put exact number on it, but I would say somewhere between 12 and 14 million barrels of oil are moving out of that region. And with a pre-conflict number closer to 20, right? And the big difference there is a little bit of conservatism from some of the exporters. Iranian flows more or less completely choked off in the last month or two. And then there's been some logistical challenges, right? The Saudi pipeline, east-west pipeline.

I was attacked a couple weeks ago. The repairs and restart, thankfully, was faster. When I say thankfully for the global economy, thankfully, it was as faster than expected. I do want to clear up. Your audience is very educated. I'm sure there are investors and traders and academics and such. But I do want to clear something up because I've done a few interviews or discussions. I did a great one with Sal Mercogliano. He's got a huge YouTube channel. And I just want to clarify, we're not sitting here celebrating. these sorts of incidents or something like that. We're just researchers, investors and such. And obviously we work with some traders who ask us what the market's doing. But we're certainly neutral observers here. And when the market direction changes, there's going to be avoids and shorts as well in the sector. We're certainly not looking for any sort of this stuff to continue. We're not hoping for that. But if you're researching in the shipping sector, you have to understand what this stuff does. So 70% of the pre-Iran war flows are still there.

Wow, that sounds like a lot. And does that mean that it's going to sort itself out and the ships are kind of trapped there or going to get through, you know, 70% of flows that sounds like we're on a route to normality. But I say that and then I say, well, wait, we're 20 times higher in terms of the shipping rates than normal. So our shipping rates going to go down 95%. What, like, how do you think this plays out? Yeah, and absolutely. And of course, 70 to 80% is a very rough estimate and that 70 or 80% has been made possible. by very successful efforts of the US Navy to provide cover to convince ship owners to go through that straight. And frankly, you know, they make headlines, but very ineffective control of the straight by Iran. Right. I mean, they'll they'll put out spin and they have their own propaganda bots on X and some other places. And they'll talk about all the ships they've attacked and sunk and all that. But they've been really ineffective at that. And I hope and I pray that they continue to be effective.

because this touches obviously the lives of many seafarers who are in the region, ships that our clients own and operate in the companies that we work with, and we're just so happy that Iran's been so ineffective at following through on their threats. The strait was closed, and it really was fully closed for a couple of months, but it wasn't closed because ships were sinking. It was just closed because of the fear and the concern. And the

caution, which I think was warranted. But I just want to clear that up as far as the ships getting back in there. They're going back in because they're not sinking, right? Because they're seeing rates of 800, 900, a million dollars, a thousand and a million dollars a day. And they're seeing that no ships are actually sinking. Maybe a couple are getting hit. But so far, you know, Iran has been very ineffective at actually closing the straight, which is, of course, a good thing. You asked if rates could come back 95 percent if things reopen.

95% is a very big number, but, you know, from one million, yeah, certainly, Jack, it's certainly possible. There's an old saying in shipping, and it really applies to any commodity market, Jack, but they say you got 99 cargoes and 100 ships, it's a bust, right? You got 100 cargoes and 99 ships and it's a boom. And that just illustrates the elasticity of the sort of market, right? Or actually the lack of price elasticity. You want to put it in economic terms? I mean, the oil must move and 10 a barrel, 20 a barrel is not going to stop it from moving. And that's a lot different than, say, a coal or grain, like a lower value dense cargo. In those cases, if the spot rates went to a million dollars a day, you couldn't move the grain. You know, people would literally die of starvation before you move the grain. But oil is such a value to a dense cargo.

They can pay these sorts of rates without breaking the market. So why are people spending a million dollars a day right now? Is there a real shortage for ships to go into the straight or go out of the straight? It's really just ships that are available that will are I don't say brave. I don't think that's the right word or bold. Maybe right be the right word or opportunistic profit takers depending on on how you see things. There's a lack of willing participants and able participants. They have to be in the right location. They have to be able to move in. They have to already be in the Gulf. or they have to be within, you know, a couple of days of the loading ports. You can't really hire a ship in a good market, Jack, in a normally functioning market. You can book these ships 40 to 50 days in advance. So you could book a ship that's way over, you know, by Houston. And you could say, hey, in 50 days, you're going to get a stem, which means you're going to load, you're going to get a stem by Fujairah in the Middle East to load. And then you're going

to take that to Asia and 50 days in advance. It's all booked out. But you can't do that now.

There's these windows of opportunity where, hey, it looks like the straits open. It's safe. We need to move the oil now. And so we're seeing the ships that are available get ridiculously high rates. And you ask, why would they pay that much for the shipment? Well, if the landed cost, and I'm making up numbers here to prove a point, but if the landed cost of a barrel of crude oil is, let's say, 120 in China, well, if they can buy it for 90 in the Gulf, that's a good trade. And so there's discounts. on these grades that are inside and trapped, they're discounted to the global price. And then some of the more further away cargo destinations are out of premium. So you can't just look at Brent because Brent's just the London benchmark rate. And so the rates of oil being bought and sold at different points is far different than the 103 Brent quote that you see.

You talked about oil and China being 120. I know that China actually was not a big buyer of oil in April, May and June. And actually, that's kind of why we didn't have the global energy crisis, oil crisis that many people predicted because China actually drew upon its vast reserves and was not in the market buying, was not importing oil. But are you saying that they've returned to the market and that is why you have such volatility and turbulence in the oil market that's causing the oil tanker market to go haywire as well? Yeah, China is absolutely returned to the market. And they've also returned to the market for exporting refined products. So I say refined products, gasoline, jet fuel, diesel. Really, we have a global and crisis is a strong word, Jack. But the real crunch point globally is less so crude oil. And I'm sure you know this, but it's way more so diesel. And diesel is really the flashing red risk factor here. And China has significantly grown its refinery capacity and export capacity over the last decade. And they have a lot of smaller fringe refineries they call them teapots.

And these refineries had quotas that were slashed when this conflict kicked off. And so China drew upon its internal reserves for domestic consumption, but they slashed their export of refined products. Well, the refined product margins got so extreme and China had burned through a lot of their reserves that they started the imports back up and they started the

refiners back on runs and they're exporting. So yes, China is absolutely in the crude oil market and they're also in the refined products export business. And so there's tankers for crude oil, very large crude carriers, BLCCs, Suezmax, those smaller ships. And then there's tankers for product markets, so refined products. And those are, you say, as you say, jet fuel, gasoline, diesel. Diesel's in the headlines. President Trump is talking about diesel. So it's those refining margins, as you say, that have really exploded. So crude oil is high, but refined products are way higher. What's happened to tanker rates for products? Yeah, great question. And refined product rates have not taken off.

to the same degree as crude tankers. And I'll be honest, Jack, no one wants to be up here working for a research shop and consider themselves one of the best in the world and say we got something wrong. But Jack, a few months ago, we had the thesis or belief that the gap between crude tanker rates and product tanker rates was simply too large. There's no historical parallel like this for this long and this large of a gap. And we expected clean tanker rates. We say clean and dirty, dirty for crude and clean for products, even though it's all. of petroleum products, but we expected that gap to close. And specifically, we expected the market to remain strong and LRs, long range product tankers and MRs, the medium range tankers, we expected those rates to continue, to double or triple. Instead, they pulled back initially over the last couple of months and we saw shifting routes in products. We saw the inefficiency initially when things closed and everybody panicked. It brought the rates up, but the product market stabilized a lot more.

faster than the crude market. The vessels were not dispersed in odd locations. The same in the same fashion that we saw in crude tanker rates. However, Jack, again, we're recording for your listeners on 30 September in the last week. Finally, finally, the thesis is working and product anchor rates are hockey sticking right now. So fantastic opportunity. I think a catch up trade for product anchor rates, I think far below where they should be in parody. Jay, because you are very self-effacing and humble, I will note that the performance of the model portfolios that you provide for clients from 2016 to 2026 is up 3,786%. An annualized return of 40%, 40.8%. So congratulations on the good job, of course, does help that, you know, that

we have had a big bull market in tankers. I interviewed Ed Finley earlier in April and that was when the tanker rates.

were going ballistic, the rates for product tankers, they were going very high. How come they stabilize and how come we have this huge dispersion between where the very large crude carrier rates are so much higher than the product tanker rates? What's going on here? I think, I think Jack, it really comes down to the fact that the product tanker fleet was more evenly dispersed across the trade routes. And we also had some refinery closures, right? China was a massive, is a massive global exporter of refined products. And they kind of turned down the taps and in fact, in some places ceased to exports. And so if they're going to cease exports off the tap, that's going to be negative for the demand factor. And so, Jack, we always say, you know, disruptions are good, right? And just short term, short term disruptions are good, but long term blockages or closures are not. And so you see the same thing, Jack, if the straight of horn moves closed, really closed permanently, and the tankers weren't all trapped inside if they were just outside.

That would be very bearish for rates. And so the only reason the rates did well in the first couple months of the conflict, like April and May, the only reason the tanker rates did well is because so many of them were trapped inside. But refined products like kerosene, gasoline, and diesel are so much higher that it's a great time to be running a refiner. If you look at the stock of something like Marathon Petroleum, it's quite evident. And so that means you want to be running the refiner all the time. You want to export as much as time. So demand for crude. Tankers very high but also demand for products should be very high as well, right? Yes You would expect to see the demand to surge every single refinery operating your maximum capacity And that's why you mean we look at something like the proposed you mentioned a few minutes ago But the proposed ban on US diesel exports That would just throw the global market in the pandemonium And it's not clear and I'm not here to make political statements or take political stances. I think the experts in the administration We need to debate this one rigorously and figure it out. Figure out what's in the best interest of the United States and its citizens and also figure out what's in the best interest of our allies and our global partners. And if the US would cut diesel exports

at this juncture in the market, at that risk throwing the global market, non-US in the total pandemonium, and a lot of regional South American, Central American allies and partners and European partners and allies would be in dire straits if that happened.

If the Trump administration does do a diesel export ban, which they've been talking about, they've been seriously considering it, what are the consequences for the global economy, global energy markets, and particular for product tankers? If it was a permanent ban, it's not going to be permanent, right? But if it was a longer lasting ban of like several months, I'm of the opinion, right? I'm sure there's a debate to be had somewhere in both directions. But I'm of the debate that would be very bearish for product tanker rates. It'd be a similar impact. to what we saw when China reduced and stopped their exports. The US Gulf to Europe or back to Asia is such a massive haul. And so that's such a large cargo route that you'd be cutting out. There would perhaps, Jack, be like a bit of a flash in the pan of like the panic and the reorganization and ships, you know, diverting real quickly to take arbitrage cargos. So you could see a case where the rates might even go up for a week or two, but a longer term.

ban of diesel exports, Jack, I think would be very bearish product tankers. You know, a lot of times as a journalist and podcaster, a lot of the times that people want to hear about the thing is not the thing. It's already happened. So, you know, if oil goes to 300 on my program and other CNBC, Bloomberg, everyone's going to be talking about 300 oil. It's probably the time to sell oil. So right now we have 300 oil in tankers and shipping. I mean, it's just extreme. It's the biggest ever. So do you think that now is actually the time to sell tanker stocks? Is now the time to bet that tanker rates are actually peaked and they're going to go down? Yeah, that's a certainly it's a good question to ask. And as someone who's been involved in this industry for, like I said, 17 to 18 years, valuations are at the highest point in tankers and specifics, right? There's other sectors where I'm more bullish and I have more interest.

But tankers specifically are at the highest valuations, the assets, the ships themselves are at the highest valuations we've really ever seen. Now, the fundamentals behind that are very strong right now. But if you look at a

tanker equity and what it's pricing in, it's asking for a lot, Jack. It's asking for a couple of strong years here. I do, though, want to differentiate between the rates and the assets themselves and the companies themselves. We got three different buckets here. So, if you look at the rates, you want to look at an instrument like BeWet. It's an ETF. It's the highest performing ETF on the market for 2026. That is almost entirely based, and I wrote a public seeking alpha article cautioning folks about this. It's not meant as an indictment against the people that run it. They're fantastic business people. There's nothing structurally or ethically or morally or wrong with the ETF, but I want people to understand that that ETF is based on the next two to three months.

of tanker spot rates is really what it's based on. It's based on FFAs, which are forward freight agreements, which are basically short term futures for rates. And so if you believe that the rates have peaked and coming down fast, then something like BWET is going to get absolutely smashed, like down 50%, down 75%, maybe even worse. And because the reason BWET's up so much this year is because the market was in heavy backwardation, meaning the forward freight agreement prices were far below the current rates. So you would own the current market. It would spike up. You would sell those and buy it three months out. Those would spiking sell those. You get the idea. It was like exponential growth. But the rates are absolutely unsustainable, Jack. I don't know if it's going to be a matter of weeks, but I wouldn't even say months. I would say it's either weeks or days, Jack. The rates at these levels are not sustainable by any form of just common sense supply, demand and commodity markets. We might see a few weeks.

But it could be a few days. I do not think we will see months. So somewhere between days and weeks on the rates. Now, that's one category. So you can see that I'm quite bearish or quite top-ish on rates. Now, the next category is assets. So like I said, the asset value is your near record highs. But you've got to look at, you've got to strip that away and say, what kind of rate do I need for two to three years to justify going out and buying a tanker? What if I want to go out and buy a 10-year-old VLCC for 150, 200 million? You know, what justifies that rate? And we've ran the numbers. We ran them a couple of weeks ago, but of course the prices have went even

higher. But we estimated you need to get about 150,000 a day or two to three years to justify the investment. And I just mentioned to you that one year charter rates are 170,000. So if you can get 170 for one year, but the rates crash, the asset's not good, right? But if you could get 170 for two years or three years, the asset is fairly valued.

And so assets are very, very rich, Jack, but I don't think they're insane. Like I think there's a model where you could somehow justify an asset. Then you got to look at the equities. The companies that own 20, 30, 40, 50 of these tankers. You've got companies like Okeanos, Eco Tankers, Stock Symbols, ECO, DHT, Holdings, Stock Symbol DHT. These are easy ones to remember. Frontline, FRO, some of the biggest tanker firms. They're trading at strong valuations, Jack. But they don't need 170,000 a day for three years to make good money. If they get 120,000, 130,000 for two or three years on average, and that includes the spot they're getting up front, they're going to do just fine, Jack. They're actually going to do quite well from here. And so I am the least bullish on the rates. I am concerned with the assets. They're getting too top-ish. The companies are more of like a hold.

if that makes sense. That makes sense. So rates, ships and stocks will start with rates. So be wet is a product that's over up 4000% year to date. So I'm glad that you're bringing a note of caution to people who say maybe maybe don't buy be wet because they could go down a lot. Sounds like rates have top will get into stocks in a moment. But just on asset values buying the 10 year crew tanker ships for a quarter of billion dollars right now. Just talk to me about the ship values. Yeah. In fact, well, there's rumors. We haven't seen some instantiated sales and purchases at 250 yet. Or if it was, it was today and I hadn't seen the headline yet. But there is a company that we follow very closely that has been selling their tankers in the open market. It's CMB Tech, CMBT. And that happens to have been our top pick for 26. They're much more of a drybolt company, but they are harvesting and selling their tankers. And there's a rumor they sold a trio of old tankers, not old, more middle-aged, but middle-aged tankers for around the 250 mark.

And so I haven't seen yet again, I might have missed it today. I've been out most of today and yesterday, but there was rumors last week that they sold

three tankers for 250. And if that's indeed true, Jack, I'd much rather be a seller in that transaction than a buyer for sure. And so tell us about the stocks. You know, some of them have very large crude carriers. Others are in the smaller ones, the Suez maxes. What kind of tanker stocks do you like right now and which ones are you less optimistic about? Yeah, absolutely, Jack. Great question. Yeah, we cover almost 50 companies in the maritime shipping space at Valley Investors Edge. And our performance that you cited, and I don't know if you can throw the chart up in the after graphics or something, but that's based on our long only model portfolios. So no options, no margin, no leverage, just a basket equally weighted typically. Sometimes we have a 2X, but equally weighted long only equity positions. And so of all the tanker companies we follow right now, most of them, like I said, are either at holds or a couple or even avoids.

One that I'll throw out here that's in our opinions a clear avoid is Nordic American tankers in AT and that in our opinion that was massively overextended from its peers It has in our opinion an inferior fleet. That's also as max as most of them are older older vessels And the management team has has not proven to be as savvy and sharp as others and I don't want to keep going but I can we don't like You know, the management structure and the governance and we don't really like the fleet and the valuations are overextended. So I'll throw that one out right away as a stock that we would avoid. It's a very popular one. Their CEO has been on CNBC a few times already. We don't like that one. But there's a couple others that are kind of middle of the road and we're not really have a strong stance on. I will say for folks who want to consider a crude tanker investment.

by far the most savvy management we've seen and the strongest results we've seen is from Okeanos Eco tankers. The stock symbol is ECO. They trade a little bit higher valuation than their peers, but they also have the most ultra modern assets. And this company has been bold enough, if that's the right word, to take some of these more risky cargoes, like going in and out between the Gulf and They're not out there publicly beating their chest about it or acknowledging it, but you can track the AIS traffic and you can tell from their results that they're benefiting a lot from those cargoes. And so ECO, ECO would be the one I'd recommend for folks who are bullish. I currently have no position. I, Jayman Smyer, am actually not really bullish

on the stock at this juncture, but I want to provide folks with a good, you know, a good consideration if they like it. On the product tanker side, I think gasoline jet fuel diesel.

Our favorite company there, Jack, is Torm PLC. The stock symbol is TRMD. And I'll say that one is indeed in our income models. And we're a big fan of their distribution policy. We're a big fan of the corporate governance, management, savviness, the fleet profile. And we do think product anchor rates have some catching up to do. We could even see a circumstance where crew tanker rates pull back and product anchor rates still go a little bit higher. So we like TRMD a lot. I have no, I just for disclosures of everyone's case, I do not have a position in AT. I'm not shorting it. I just would say it's an avoid and I have no personal position in TRMD myself as well. Okay. So Torm is in the model portfolio. Of course, there are other ones like INSW, for example, maybe Ardmore. So you are broadly bullish. These tanker stocks. Yes. Or is there something in particular you like about Torm or Haphnia, which is related as well? Yeah. Haphnia is a solid company as well.

really nothing negative to save a half knee at all. In fact, I think half knee is extremely smart here for buying some of the blocks of Torm. Torm is been backed by Oak Tree for more than a decade. Oak Tree built their stake through distressed debt. They helped restructure and bail Torm out, dating back to a post GFC bankruptcy. Oak Tree has been with Torm now for, man, closer to 15 plus years. And so we don't think it's an Oak Tree negative signal, right? They're far beyond the normal mandate of this type of investment. And I think it's really smart of Haphnia to gobble up those shares on the open market. So Haphnia is a solid company as well. We just, we prefer the fleet and structure of Torm just a little bit more here. Another one is Scorpio tankers ST and G. That one has interesting valuations, but I would say Torm is a premium company right now. Got it. Any other ones you've got a differentiated view on? Yeah, there's a few other good crude tanker companies. I mean, international COAs has been such a winner for us over the last decade. I mean, we followed them since day one.

of their IPO spinoff. They spend off a company, it was called OSG, and it was called Overseas Shipholding Group, and they spun INSW off. They

kept the domestic ships in OSG, which is funny, because the domestic Jones X fleet was called Overseas Shipholding Group, and then they spun off all their international ships into INSW, which at least that name made sense. We followed them since post of the IPO split. I mean, they went down to like 15, 16 bucks a share, and you can see now they're over 100. And that doesn't include all the dividends they've paid out. So INSW is fantastic company. Lois is great CEO, Jeff, great CFO. I mean, very personal. I know other management folks and known them for a decade. Look, Jack, all these tanker companies, there's lots of them with great management teams and good fleets. I'm going to just be honest with folks and I might be wrong. And I, and I hope for people that are investing, I hope I'm wrong. You know, I hope there's more legs in this thing. But I'm really, I'm really kind of a hold and just kind of like an observer. It's almost for entertainment value at this point, Jack.

I'm of this in the name value investors edge. Hey, we're value folks. We're based on fundamentals. We're based on cash flows. We're based on earnings. We're based on cycle. Right. It's cyclical stacks. So we're the kind of folks that buy somewhere between like any one, when everyone hates it and any five, when everyone's starting to pay attention, we're not the kind of folks that are coming going to come on your podcast and bang the table. and scream bullish when we're in the eighth or ninth inning. I appreciate that. And some people may be looking this up in Google Finance and say, oh, the P.E. ratio is at seven. That is value. It's like, well, Jay's point is that the earnings are in the future. He wants to buy them when the P.E. ratio is negative because they're losing money and the stocks are trading for one-tenth of what they're trading at now. Yeah, that's absolutely right, Jack. I want to give folks one example of this in the container-ship sector. I know we're bouncing around sectors. You can look up DAC Denouse Corp.

In the stock right now back in 2020 Jack, that's the perfect example of negative earnings over leveraged not far away from bankruptcy that stock was 5 in August of 2020 and folks can look it up today and see that we're sitting on a I'm not still long but from that point in time We're talking about like a 30 bagger and dividends to boot And so, Jack, that's our bread and butter. And that's how we've gotten a 41% IRR over the last 11 years, Jack. We don't get a 41% IRR over 11 years by buying tankers in today's market.

Absolutely not. So, broadly, there are three types of ships, container ships, dry bulk, and then, of course, tankers. We talked about tankers. I want to get your view on dry bulk in a minute, but just...

First, talk about one reason to be bearish on crude tankers with just the vast amount of supply coming. So you said over, you know, the past five years supply extremely favorable because all the ships were so old, no one wanted to build a tanker ship. But hasn't that changed over the past year? Tell us about the large orders that have taken place in crude tanker markets and what's coming in the pipeline. Yeah, absolutely, Jack. And this is a commodity market eventually correcting itself, right? That's just the market adjusting. The supply, the order book has ramped significantly starting in about 2023, right? We had the Russian invasion of Ukraine and the subsequent sanctions and the tightening of the market and everyone realized, holy cow, like we're short tankers, we need to order, we need to buy, buy, buy. And then we had another wave of that, you know, six, nine months ago when this broke out, another wave of panic ordering of tankers. And so most of that tonnage is not going to hit the market real heavily until, you know, early to mid 2027.

But between, you know, early mid-27 and late 2028, early 29, the influx in new supply is going to be significant, Jack. And over the long term, like if we're talking 10 years in the full cycle, I don't think the order book is actually that gross. Like there's a lot of old ships that are going to need to be retired and scrapped. So I don't think it's like a crisis that's going to make the tanker industry go into a drought for five or 10 years. I don't think it's that bad. But when these rates are this high, nobody's going to scrap an old ship. They're going to retrofit it. They're going to spend millions of dollars patching up holes and whatever it requires. Nothing's going to get scrapped in this type of market. So these levels of rates are absolutely unsustainable. And I don't know if again, I don't know if the rates are when I say unsustainable, I mean the obvious things like anyone with, you know, some common sense can tell you a million dollars a day is unsustainable. But I mean, even the bullish rates of 150 or 200 are unsustainable. I think even 150,000 a day is you're going to be hard pressed.

to last more than 12 months, 18 months at that rate. You can make an argument that you could do it for 12 months. But I think when you get to mid to late 27, the supply inflows can be significant and the supply outflow from scrapping is going to be near almost zero. The only things that might get scrapped are maybe Iranian tankers or sanctioned tankers that just get forced to scrap. But you're not going to scrap any commercial ship until the rates come down well below. you know, 50, 60,000 a day. Talk to me about the dark fleet and why that's important, as well as just how old are these ships in the dark fleet? Yeah, absolutely. Some of the US owned ships are just crazy old. Realistically, jacking the tanker market, starting at after the 15 year survey, the demands of requirements to maintain international compliance significantly increase. And you have to get special surveys every 2.5 years. So 17.5, you have a special survey. At 20 years, you have a full dry dock.

And in twenty two point five, you have a very extensive survey and usually requires dry dock for repairs. So tankers are very, very difficult to operate beyond about and it's different for types of tankers. But for VLCC's, it's very difficult to operate those past the twenty two point five mark. I'd say it's kind of the cutoff. But if rates are two or three hundred thousand dollars a day, folks will find something they can retrofit. But if rates are normalized, we're talking 30, 40, 50, 60 thousand a day. that you're not going to see anything past 22 and a half, most likely in VLCCs. In fact, if the market's really bad, they'll scrap them at 17 and a half. So we're sitting here right now and saying, well, if these rates are going to stay at 150, 170 for one year charters, you can justify pushing a pretty nasty ship through a dry dock and special survey and retrofits to capture 170,000 guaranteed for a year.

And so that's why I don't think we're going to see anything in the compliant global fleet get demolished at this point. And he asked about the dark fleet. It depends what type of dark fleet, right? Is it any rainy because they're not all created equal. I mean, you have some dark fleet vessels that are currently, you know, part of the dark fleet, but they've only been doing that for, you know, six months or something or a year. And there may be trading like Russian product flows and some illicit markets, but the ship itself is generally decently maintained. Those ships might be rehabilitated. But if

you look at some of the, like, Iranian-owned fruit tankers, there's ones that haven't seen a proper special survey in five-plus years. And they're pretty terrifying vessels. And if those get boarded and seized by, like, the U.S. government or something like that, I think the most likely outcome is those vessels will be unloaded, the cargo will be taken out, and the vessel will be scrapped. So of the 20% or so that are participating in the dark fleet...

I'd say 5%. So 25% of that 20, which would be 5% of the global fleet, that's probably never coming back to regular service. For the rest of the 75%, I can't definitively say it's a ship by ship case basis. It also depends on the rates. Jack, there's going to be a lot more political and economic will to rehabilitate a dark fleet ship if the rates are where they are now. If the rates are normalized, the political and economic will is going to need to demolish and just get rid of those ships. So I think it's a good relief valve. I think it will protect us from a long term downturn in the market. Like I'm not sitting here, Jack, and saying we're in the ninth inning and the rates are extremely high and the next inning is going to be terrible. I think we can definitely see a situation where we're in extremely high rates and then next year we're in still pretty damn good rates. And then in two years from now, it's kind of average. Like, I don't necessarily think we're going to fall off a cliff and start losing money in tanker firms are going to burn cash. I'm not saying that whatsoever. I'm just saying these ultra high rates are not sustainable.

Right. So investors are buying stocks in the future. So tanker stocks are printing money now, and they'll probably print as much, maybe a little bit less next year, and they'll still be making money in 2028. That is a good scenario from running a ship company, but as a stock owner, probably not going to be great. Well, and that's the truth, Jack, because if you're looking at this from a true investor standpoint of like, I'm going to buy this company, I'm going to own it for five plus years, and I'm really investing. then I think there's a case where you could do okay in five years. You could have higher profits than the assets cost you on basis, but these stocks will trade very volatile. So if the B-wet crashes because the rates pull back, the tanker stocks are going to go down too. And so it really becomes a little bit of a game of hot potato. You buy a stock today, you look at DHT holdings, it's a great firm, great company, good fleet.

you're buying them around 22, 23. And, you know, if the rates stay up for another three to six months, that stock might easily go to 30. And it might pay a couple of really fat dividends. But when the rates turn down, even if it's a still a great company with good assets, that stock's going to suffer. And so that's why, you know, from our standpoint, I didn't mean to come on here and be super bearish, you know, but from that standpoint, from a value investor standpoint, our company is value investor's edge. That's not, this is not an investment. types and type profile. So you have a cautious to neutral view on tanker ships. What about dry bulk? Yes, that is the one segment of the market, Jack, where as long as we don't have a global recession, caveat emptor, right? And if you're concerned about global macro and you're concerned about broad stock market valuations, which I personally am, there's a no to caution there. That's a big caveat. But if you believe in a lot of people do, the global economy is going to be just fine over the next few years. And we're not going to see any sort of big spike in conflict or oil prices aren't going to 200 a barrel or anything like that, then DryBulk in our opinion is the most attractive segment out there. There are several DryBulk firms that we believe are trading at very attractive valuations. I don't think it's fair to my members and our model portfolio folks to just sit here and rattle them off and list our favorites and all that. But I will say one company, it was published publicly as our top idea of 2026, was CMB Tech, CMBT. And I still have a long position in that company.

And I can disclose it also is in our models, our private models of value investors edge. We are very bullish that company, even at current prices, around 19 a share. Now, it's not as great at 19 as it was last fall at 8. But the valuations in our opinion are still attractive. And we believe there's definitely potential for 25 to 30 by next year. If the drivable grades remain modestly strong, the one thing that CNBT is doing that we really like is they are harvesting. All of, not all, but most of their tanker assets, they're divesting those. They're selling them off. They're keeping about half the proceeds to pay back debt and lower their leverage. And they're divining out almost half of the rest of it. And so very strong dividends are coming out of CNBT from their tanker sales. The dividends are expected to rise because dry bulk rates are increasing and they're reducing their forward exposure to the volatile tanker segment. So we really like CNBT a lot. And Jack, I'm sure you have a couple of follow-ups on the sector as well.

Yeah. So, CMB, they have dry bulk. They also have tankers, as well as a handful of container, chemical, offshore stocks. Why do you like dry bulk so much more than tankers right now? So, in dry bulk right now, if we're talking about innings, and innings are always a dangerous analogy, and you look like a fool in hindsight. But we believe tankers are somewhere in like the fifth to sixth inning. Like, they've also been sitting in the doldrums for a while. The dry bulk rates are actually quite strong right now, Jack. We got cape size rates around 50,000 a day, 40 to 50,000 a day. And so it's not like these rates are, we're not buying this thing for pennies on a dollar. I think what you meant to say was that dry bulk rates are in the fifth inning. Yeah. Sorry, Jack, I misspeak there. Yes. No, the dry bulk rates are probably, we think fourth to fifth to sixth inning, somewhere in that range, tanker rates much higher. And of course, like I said, that's a dangerous analogy to use too much of the innings, but dry bulk rates are increasing a lot. And we're seeing capes sizes.

which are really the largest core segment. We're talking 180,000 tons, 200,000 tons, very large vessels that you iron ore, coal, a little bit of boxite, big cargos from Africa to China, Brazil to China. China is really the big buyer across the board for all this stuff. But these rates are hitting 40,000 to 50,000 per day. And a normal cape size rate jacks about 20,000. So instead of being at 25X, we're at 2.5X, so much more moderate. But 50,000 is a very profitable rate for cape sizes. And a company like, and there's other companies too, but a company like CMBT has all modern vessels and they have these ships called new castle maxes. And they have ones that have dual fuel technology. They can also burn LNG. And so those ships are earning 15,000 to 20,000 per day higher than the benchmark. So if the benchmark's 45,000, they're actually earning 60,000. And so those are very strong rates, Jack. And we think there's longer legs on that.

We've put out a couple of public articles on seeking offer. They should be free for everybody to read my associate James Catlin. He's our lead of macro. We have a 13 member team at Valley Investors Edge across all the different specialties. But James's specialty is like the macro and the trade routes. And so he's got a great article out on seeking offer that really breaks down the dribble case. It'd be hard for me to do it justice. So I highly recommend if you're interested, you read that next after this podcast. And

maybe we can include a link here in the video. But he breaks down the case of how dry bulk is supply constrained like tankers were a couple years ago He breaks down the case of shifting trade routes and specifically the seamen do mine coming out of Guinea to supplied China and so China is very Dependent on iron ore imports to fuel their entire manufacturing economy right now those iron ore imports come from two main places Australia Brazil so you got a US ally and a Western aligned country and they're supplying everything you need for your manufacturing center. And China doesn't like that. And so China has been investing in Guinea for the last decade, first to build box site capacity and now more recently to build iron ore capacity. And so we believe that China is going to shift every single cargo they can get out of Guinea away from Australia for, for national security reasons, right? And supply chain and national security reasons and the distance to all ton miles, Jack. And so the distance from Guinea.

to China is more than triple the distance from Australia to China. And so it's just a very bullish ton mile shift, even if total consumption and total import stay flat. So China is going to move from buying its box had an iron from Africa instead of Australia. So we're going around the Horn of Africa. It's going to be even longer. It's going to increase demand for ton miles. So if this is right, then dry bulk now could be sort of like tankers were a few months ago or four years ago. Yeah, I would say I would say a parallel to this would be buying tankers last October or November of late 25 when tanker rates were improving and strengthening, but they hadn't hit lift off yet. I'd say that's where we are in drivable. Can see we're seeing signs and proof in the market that the market's tight. I mean, we're seeing rates move from 20,000 a day to 50,000 a day in Cape sizes. The market is clearly tight, but we're not stratospheric, right? Because we haven't gotten that additional one or two or 3% of squeeze. And so if there's any massive disruption, like we don't predict.

Black swans or white swans, right? Those just kind of happen. But if there's any sort of disruption significantly to dry bulk trade routes, or if we just see national demand increases without supply to offset it, we think those rates could stay very strong for two or three years. You said supply constraints. So unlike tankers, which have a big amount of supply coming online, it's not like dry bulk have a ton of orders. Is that what you're saying? Yeah, the

dry bulk order book. And again, they saw on the public articles and such, but charts and that sort of thing. But the dry bulk order book is much more restrained. It's only slightly above average order book and the age of the fleet is similarly old to tankers. So you have a natural sort of replacement. And so as long as the man does not crater, as long as it's slightly positive demand growth, dry bulk market should do quite well. Now that's the big caveat I let out front, Jack. If we have a global recession or we have some sort of crisis in China for whatever reason and the manufacturing sector goes into recession, then dry bulk is not going to do well.

So if you get like a Lehman Brothers incident in the global economy goes sideways and down hard Dry bulk is gonna go down and dry bulk socks are gonna go down like if we have a global recession Jack and you don't want to be in shipping Hey, but J didn't we already have a giant real estate bubble in China that has had a notional correction that's honestly worse than the US subprime So we've had a giant decline in construction activity in China hasn't that already hit dry bulk? Yeah, it's certainly been stress tested Jack And, but we haven't seen, we've seen a very powerful state protection of these assets and stabilization, right? So, yes, we, we saw Evergrande and those sorts of things blow up, but they didn't ripple across the entire country in the same way that it did in the United States, right? China had enough reserves and enough protections and they'd been pushing us. And part of that crisis and unfolding was, was by China's government's own doing and own planning. Like they kind of knew as they were tightening the screws on the leverage ratios and things like that.

the things we're going to break. And I'm not, you know, I don't want to get too heavy into China macro and China politics and stuff. But there's some belief that there was some deliberate consideration done there. Also, in terms of which, you know, corporate entities, state owned players were no longer politically protected. Right. There was a lot of stuff that happened there where China was able to deal with it. What we're talking about, Jack, is a full on manufacturing collapse. And we didn't see that, right? We saw property collapse. We saw construction slow down. But the actual factories and infrastructure development, like streets and roads and things, were still very strong. Power plants were getting built. It wasn't like a complete stoppage. And Jay, what are the most common commodities that are sent

over dry bulk? Yeah, the big ones, especially for the larger vessels, Jack, that the big ones are going to be what you mentioned, bauxite, coal and iron ore. Those are your big three. And I do need to mention that the one reason it's not the only reason dry books do well, but something helping dry bulk right now.

which we think is going to last for several years, is the switching away from natural gas and LNG over to coal for power production. The LNG prices are surging because a lot of that comes out of the Gulf, right? The Middle East. And so coal doesn't come out of the Middle East. So coal is readily available for power plants and it's much cheaper. So we're seeing a lot of there's a lot of dual fired power plants in Asia that can burn either natural gas or coal. And we're seeing a lot, a lot of those switching back to coal. And so that's that is something that's benefiting. So I didn't mention that earlier. And I had to sneak that in there. You asked what are their cargos for the medium sized dry bulk vessels? You're going to get a lot of grains, a lot of agro bulks. You also get things like cement. And basically anything that that's in like it's in the name, you know, dry bulk products. So wheat and soybeans and.

Stuff like that. All right, Jay, thank you. The third leg, container ships, what's your outlook here? Container ships, they've been phenomenal, man. Container ships had a far longer run than I ever would have expected. 2020 to 2022, those were life changing investments for myself and most of our members and clients. We had companies like ZEM and companies like the now still went from five to a hundred. Companies like ZEM that were like five baggers, you know, in less than a year. Container ships are very mature in the cycle. The order book is massive. There's not a lot left there, Jack, but container ships have benefited from like every global disruption possible. In fact, the Houthis in the Red Sea were a huge benefit to container shipping markets. The Strait of Hormuz less so, but the Houthis have been more active. And so that is restricting flows and 33, 34, 35% of the global container trade goes through the Red Sea. And so that is a massive choke point. We talk about 20% of the oil goes through Strait of Hormuz or in that region.

34% of container traffic goes through Red Sea. So one of the biggest show points in the world. And so the Houthis threatening action has really helped extend the maturity of that market. We're certainly not bullish share on containers. And in fact, we think there's some very stressed times ahead in the coming years. Jay, I kind of just realized that there's a friend of mine who recommended you as a guest. And I'm very glad that he did. He's a old client of yours. And I believed I learned about Zim from him and I'm just. going through the motions, I'm pretty sure he learned about Zim from you. So indirectly, you know, I'm a, I'm a beneficiary of that. That's very cool. Jay, would you say that you're bullish or bearish? And obviously you're, you're very bullish on dry bulk, but when it comes to tankers versus containers, which are you more bullish or cautious on? Yeah, I think it's really hard. I think it's really hard to compare those two. They're just different markets in different segments. I think containers are the least interesting here on Jack because containers.

You could be bullish. I would understand if someone came on your show or was having a conversation with me and they were very bullish on tankers for like a month or two or a few weeks. Like I could see the trade there. I might be like, yeah, it's not my that's not my brand. Right. That's not what we do rally investors edge, but I could understand like a bullish trade on tankers. Like I wouldn't write that off as like crazy. I don't think it will end well in six months, but it might do well for a month or two. Right. Containers, I just don't. And I don't really see them as good trade and I don't really see them as a great investment. So I guess if I had to pick one, I'd trade the tankers a little bit and have some fun. And then if I wanted an actual investment, I'd go with dry bulk. Jay, thanks so much. People can find you on X at Jay Minsmeyer. Tell us about your website, services you provide for clients and where people can find you. Yeah, thanks, Jack. Vieresearch.com is our website. And we offer two platforms. We offer one that's focused exclusively on maritime shipping.

And as Jack mentioned, we have a 41% IRR over the last 11 years. I think 38x cumulative over that time period. We offer model portfolios, a value model, a speculative model, and an income model focused on the shipping sector. We also run an energy research platform called Energy Investing Authority. And you can see both of those on our website. We have different

tabs for shipping and for energy. We have over 800 satisfied members. We've been around for 11 years. Jack, thanks again for having me on today. Thanks, Jack. Hope you enjoyed that. Want to say a big thank you to today's sponsor, Lens, ticker LENS, the Sarmaya Thematic ETF, which gives real asset exposure and the potential to diversify a 60-40 portfolio. Read the prospectus at SarmayaETF.com. Disclosures in the show notes. Thanks for watching.